

DATE: June 25, 2026

TO: The Board of Directors

FROM: Andrew Felton
Director, Division of Insurance and Research

Jenny Traille
Acting Director, Division of Complex Institution Supervision and Resolution

Shawn Khani
Director, Division of Resolutions and Receiverships

CONCUR: Matthew P. Reed
General Counsel

SUBJECT: **Notice of Proposed Rulemaking on Assessments Thresholds, Rate Schedules,
and Adjustments**

I. SUMMARY

Federal Deposit Insurance Corporation (FDIC) staff present to the Board of Directors (Board) for approval the attached Notice of Proposed Rulemaking (NPR or proposal) and request authorization of its publication in the *Federal Register* with a 60-day comment period. The proposal would amend the FDIC's regulations for determining risk-based deposit insurance assessments for insured banks and insured branches of foreign banks (assessments regulations) to: (1) update the \$10 billion asset threshold in the definitions of small and large institutions to \$30 billion and adjust the threshold every four years to reflect inflation, pursuant to a pre-determined indexing methodology; (2) decrease initial base deposit insurance assessment rate schedules by 2 basis points for small institutions and by 1 basis point for large and highly complex institutions; (3) provide a downward resolution readiness adjustment (RRA) to

assessment rates for large and highly complex institutions, including 0.5 basis points for a virtual data room (VDR) component and 0.5 basis points for a data access component; and (4) remove obsolete provisions.

II. BOARD ACTION REQUIRED

Board approval is required for the issuance of rules and regulations, unless otherwise delegated.¹

III. RECOMMENDATIONS

Staff recommend that the Board:

A. Approve the proposal and authorize its publication in the *Federal Register* for a comment period ending 60 days after publication in the *Federal Register*.

B. Authorize the Executive Secretary, or designee, and the General Counsel, or designee, to make technical, non-substantive or conforming changes to the text of the *Federal Register* document to ensure that the FDIC can publish this proposal in the *Federal Register*.

IV. BACKGROUND

Pursuant to section 7 of the Federal Deposit Insurance (FDI) Act, the FDIC has established a risk-based assessment system through which it charges all insured depository institutions (IDIs) an assessment amount for deposit insurance.² Under the FDIC's assessment regulations, an IDI's deposit insurance assessment amount is equal to its assessment base multiplied by its risk-based assessment rate.³ The FDIC Board is authorized to set assessments for IDIs in such amounts as the Board may determine to be necessary or appropriate.⁴

¹ 12 U.S.C. § 1819(a)(Tenth).

² 12 U.S.C. § 1817(b).

³ 12 CFR 327.3(b)(1).

⁴ 12 U.S.C. § 1817(b)(2)(A).

A bank's assessment rate is calculated using different methods based on whether the bank is defined as a small, large, or highly complex institution under the assessment regulations. The assessment regulations generally define a small institution as an IDI with total assets of less than \$10 billion, as reported on the Consolidated Reports of Condition and Income (Call Report),⁵ and a large institution as an IDI that reports assets of \$10 billion or more on its Call Report for four consecutive quarters that does not meet the definition of a highly complex institution.⁶ All institutions are subject to certain adjustments to their assessment rates for certain liabilities that can increase or reduce loss to the Deposit Insurance Fund (DIF) in the event the bank fails.⁷ In addition, the FDIC may adjust a large or highly complex institution's total score, which is used in the calculation of its assessment rate, to consider idiosyncratic or other relevant risk factors not reflected in the appropriate scorecard.⁸

V. DISCUSSION

The Proposed Rule

Staff recommend that the Board, under its general rulemaking authority in section 9 of the FDI Act, and its specific authority under section 7 of the FDI Act to set assessments and establish a risk-based assessment system,⁹ make several revisions to the deposit insurance assessment regulations, as described below.

⁵ Banks that elect to use the community bank leverage ratio framework are also considered small institutions, even if those banks would otherwise meet the definition of a large institution. 12 CFR 327.8(e)(3). An insured branch of a foreign bank is not considered a large institution. 12 CFR 327.8(f).

A small institution is reclassified as a large institution beginning in the fourth consecutive quarter that it reports assets of \$10 billion or more on the Call Report. Similarly, a large institution is reclassified as a small institution beginning in the fourth consecutive quarter that it reports assets of less than \$10 billion on the Call Report.

⁶ 12 CFR 327.8(f).

⁷ 12 CFR 327.16(e).

⁸ 12 CFR 327.16(b)(3); *see also* Federal Deposit Insurance Corporation, Assessment Rate Adjustment Guidelines for Large and Highly Complex Institutions, 76 FR 57992 (Sept. 19, 2011).

⁹ 12 U.S.C. §§ 1817 and 1819(Tenth).

Proposed Updates to Definitions and Thresholds

The proposal would update the definitions of small and large institutions that determine which risk-based deposit insurance assessments methodology is applied to calculate an institution's deposit insurance assessment rate.¹⁰ Specifically, staff recommend updating the asset-based threshold in the assessment regulations used to define small and large institutions from \$10 billion to \$30 billion and adjusting this threshold in the future to reflect inflation, pursuant to a pre-determined indexing methodology that would generally align with the methodology used to adjust certain other thresholds within FDIC regulations.¹¹

Specifically, the asset-based threshold defining small and large institutions for purposes of deposit insurance assessments would be adjusted at the end of every consecutive four-year period based on the cumulative percent change of the non-seasonally adjusted Consumer Price Index for Urban Wage Earners and Clerical Workers (CPI-W) since the effective date of any final rule.¹² The inflation adjustment, in combination with the proposed threshold and definition updates, would preserve, in real terms, the assessment methodology threshold used to define small and large institutions.

Staff estimate that among the 76 institutions that would shift from the large bank pricing scorecard methodology to the small bank pricing methodology as a result of the proposal, almost all would pay less in assessments, particularly after applying the proposed 2 basis point reduction in initial base assessment rate schedules applicable to small banks detailed below. However, to

¹⁰ 12 CFR 327.8(e) and (f).

¹¹ See Federal Deposit Insurance Corporation, Adjusting and Indexing Certain Regulatory Thresholds, 90 FR 55789 (Dec. 4, 2025).

¹² The U.S. Bureau of Labor Statistics publishes the CPI-W on a monthly basis. The CPI-W is used to annually adjust benefits paid to Social Security beneficiaries and Supplemental Security Income recipients. See U.S. Social Security Administration, CPI for Urban Wage Earners and Clerical Workers, available at: www.ssa.gov/oact/STATS/cpiw.html.

mitigate possible effects on some institutions, staff are proposing to provide for a one-time election for reclassified institutions to be temporarily priced using the large bank scorecard methodology to mitigate any impact by allowing for a transition.

Proposed Revisions to Assessment Rates

Staff also recommend revisions to deposit insurance assessment rate schedules, including reducing initial base deposit insurance assessment rate schedules uniformly by 2 basis points for IDIs that meet the proposed definition of a small institution, and by 1 basis point for IDIs that meet the proposed definition of a large institution or that are highly complex institutions. The proposed reductions would only apply to initial base assessment rate schedules applicable while the reserve ratio is less than 2 percent.¹³

Resolution Readiness Adjustment

The proposal would amend the risk-based assessment system to include a downward adjustment, the RRA, of up to 1 basis point to initial base assessment rates if a large or highly complex institution elects to (1) submit to testing of the institution's ability to populate a VDR with information that could be used to market a bank in the event of its failure; and/or (2) provide the FDIC access to an institution's service provider(s) and/or internal systems to obtain data needed to manage and market the bank in receivership. The RRA would be applied to a large or highly complex institution's assessment rate in recognition of the expected reduction in losses to the DIF in the event of the failure of a bank that successfully completes the VDR testing exercise and/or provides the prescribed data access.¹⁴

¹³ Progressively lower assessment rate schedules will take effect when the reserve ratio exceeds 2 percent and 2.5 percent under current regulations.

¹⁴ The FDI Act requires the Federal Deposit Insurance Corporation to establish a risk-based assessment system for calculating an IDI's assessment based on the probability that the DIF will incur a loss with respect to that IDI and the likely amount of any such loss, among other factors. 12 U.S.C. § 1817(b)(1)(C).

A large or highly complex institution's ability to quickly populate a VDR with complete, timely, and accurate information can be key to ensuring that the FDIC receives high quality bids in the event of the institution's failure, which would reduce the likely amount of loss to the DIF. From a marketing standpoint, an institution's ability to quickly populate a VDR is critical to ensuring necessary information on unique business lines can be supplied in a timely manner for bidders to evaluate the institution's franchise. Better information for bidders when marketing a franchise increases bid quality which, in turn, increases the likelihood that a failed bank will be acquired quickly following its entry into receivership.

While having the ability to quickly populate a VDR is important for the rapid marketing and sale of a failed institution, directly accessing data from the institution's systems and/or its service provider(s), as applicable, would allow the FDIC to build out internal FDIC infrastructure to enable the FDIC to receive and process necessary data in the event of an institution's rapid failure. Additionally, the data would further enhance the quality and robustness of the information provided to potential bidders and enable the FDIC to more effectively operate an eventual receivership or, if needed, a bridge depository institution.

The RRA would be applied to a bank's initial base assessment rate prior to application of any other applicable adjustments to initial base assessment rates. Under the current regulations, the minimum initial base assessment rate applied to large and highly complex institutions becomes progressively lower after the reserve ratio reaches 2 percent and 2.5 percent. Under the proposal, the minimum initial base assessment rates applied to large and highly complex institutions would still become progressively lower, but the decrease would be smaller to incorporate the RRA.

*Proposed Assessment Rate Schedules*¹⁵

The proposal would implement the following initial base assessment rates, adjustments, and total base assessment rates applicable to established small institutions and large and highly complex institutions set forth in Table 1 below.

Table 1—Proposed Total Base Assessment Rate Schedule (After Adjustments) Applicable to Established Small Institutions and Large and Highly Complex Institutions If the Reserve Ratio as of the End of the Prior Assessment Period Is Less Than 2 Percent

	Established Small Institutions			Large & Highly Complex Institutions
	CAMELS Composite			
	1 or 2	3	4 or 5	
Initial Base Assessment Rate	3 to 16	6 to 30	16 to 30	4 to 31
Resolution Readiness Adjustment	N/A	N/A	N/A	-1 to 0
Unsecured Debt Adjustment ¹	-5 to 0	-5 to 0	-5 to 0	-5 to 0
Brokered Deposit Adjustment	N/A	N/A	N/A	0 to 10
Total Base Assessment Rate	1.5 to 16	3 to 30	11 to 30	1.5 to 41

¹ The unsecured debt adjustment cannot exceed the lesser of 5 basis points or 50 percent of an insured depository institution's initial base assessment rate less any applicable RRA; thus, for example, a large or highly complex institution with an initial base assessment rate of 4 basis points and an RRA of 1 basis point will have a maximum unsecured debt adjustment of 1.5 basis points and cannot have a total base assessment rate of lower than 1.5 basis points.

The proposed initial base assessment rates, adjustments, and total base assessment rates in Table 2 below would be in effect if the reserve ratio of the DIF as of the end of the prior assessment period is equal to or greater than 2 percent and less than 2.5 percent.

¹⁵ For Tables 1, 2 and 3, the following notes apply:

(1) The depository institution debt adjustment, which is not included in the table, can increase total base assessment rates above the maximum assessment rates shown in the table.

(2) All amounts for all risk categories are in basis points annually. Total base rates that are not the minimum or maximum rate will vary between these rates.

Table 2—Proposed Total Base Assessment Rate Schedule (After Adjustments) Applicable to Established Small Institutions and Large and Highly Complex Institutions If the Reserve Ratio as of the End of the Prior Assessment Period Is Equal To or Greater Than 2 Percent but Less Than 2.5 Percent

	Established Small Institutions			Large & Highly Complex Institutions
	CAMELS Composite			
	1 or 2	3	4 or 5	
Initial Base Assessment Rate	2 to 14	5 to 28	14 to 28	3 to 29
Resolution Readiness Adjustment	N/A	N/A	N/A	-1 to 0
Unsecured Debt Adjustment ¹	-5 to 0	-5 to 0	-5 to 0	-5 to 0
Brokered Deposit Adjustment	N/A	N/A	N/A	0 to 10
Total Base Assessment Rate	1 to 14	2.5 to 28	9 to 28	1 to 39

¹ The unsecured debt adjustment cannot exceed the lesser of 5 basis points or 50 percent of an insured depository institution's initial base assessment rate less any applicable RRA; thus, for example, a large or highly complex institution with an initial base assessment rate of 3 basis points and an RRA of 1 basis point will have a maximum unsecured debt adjustment of 1 basis point and cannot have a total base assessment rate of lower than 1 basis point.

The proposed initial base assessment rates, adjustments, and total base assessment rates in Table 3 below would be in effect if the reserve ratio of the DIF as of the end of the prior assessment period is equal to or greater than 2.5 percent.

Table 3—Proposed Total Base Assessment Rate Schedule (After Adjustments) Applicable to Established Small Institutions and Large and Highly Complex Institutions If the Reserve Ratio as of the End of the Prior Assessment Period is Equal to or Greater Than 2.5 Percent

	Established Small Institutions			Large & Highly Complex Institutions
	CAMELS Composite			
	1 or 2	3	4 or 5	
Initial Base Assessment Rate	1 to 13	4 to 25	13 to 25	2 to 26
Resolution Readiness Adjustment	N/A	N/A	N/A	-1 to 0
Unsecured Debt Adjustment ¹	-5 to 0	-5 to 0	-5 to 0	-5 to 0
Brokered Deposit Adjustment	N/A	N/A	N/A	0 to 10
Total Base Assessment Rate	0.5 to 13	2 to 25	8 to 25	0.5 to 36

¹ The unsecured debt adjustment cannot exceed the lesser of 5 basis points or 50 percent of an insured depository institution's initial base assessment rate less any applicable RRA; thus, for example, a large or highly complex institution with an initial base assessment rate of 2 basis points and an RRA of 1 basis point will have a maximum unsecured debt adjustment of 0.5 basis points and cannot have a total base assessment rate of lower than 0.5 basis points.

The proposal would also make conforming changes to the assessment rate schedules for new small institutions and insured branches of foreign banks.

Technical Amendments to Remove Obsolete Content

The proposal would make technical amendments to the regulations governing deposit insurance assessments to remove obsolete provisions. Removal of these provisions will neither affect deposit insurance assessments nor result in new requirements for IDIs.

Significance Determination

In accordance with Executive Order 12866, the FDIC sent its significance memorandum to the Office of Information and Regulatory Affairs (OIRA) recommending that the proposed rule be considered a significant regulatory action. OIRA determined that the proposed rule is a significant regulatory action under section 3(f)(1) of EO 12866.

VI. CONCLUSION

Staff request that the Board adopt the recommendations set forth above.

STAFF CONTACTS

Division of Insurance and Research

Daniel Hoople, Associate Director, Financial Risk Management Branch

Division of Complex Institution Supervision and Resolution

Ryan Tetrick, Deputy Director, Resolution Readiness Branch

Sean Healey, Acting Associate Director, Policy Analysis, Systemic Risk Branch

Patrick Bittner, Senior Policy Specialist, Policy Analysis, Systemic Risk Branch

Division of Resolution and Receiverships

Shivali Nangia, Deputy Director, Receivership Operations

Catherine Linhart, Assistant Director, Closing Operations and Data

Legal Division

Ryan McCarthy, Counsel, Deposits, Legislation, and Supervision Policy Section

Jacques Schillaci, Counsel, Resolution Planning & Policy Section

Dena Kessler, Counsel, Resolution Planning & Policy Section

